

Warsaw, the 31st
of May
2023

Decision

DKE.561.37.2022

Based on Article 104 § 1 of the Act of June 14, 1960, the Code of Administrative Procedure (Journal of Laws of 2023, item 775, as amended) in connection with Article 7 § 1 and § 2, Article 60, Article 101, Article 101a § 2, and Article 103 of the Act of May 10, 2018, on the protection of personal data (Journal of Laws of 2019, item 1781, consolidated text) and based on Article 57 § 1 letter a) and h), Article 58 § 2 letter i), Article 83 § 1-3, Article 83 § 4 letter a) in connection with Article 31 and Article 83 § 5 letter e) in connection with Article 58 § 1 letter a) and e) of the Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016, on the protection of natural persons with regard to the processing of personal data and on the free movement of such data and repealing Directive 95/46/EC (General Data Protection Regulation) (OJ EU L 119 of May 4, 2016, p. 1, with amendments published in OJ EU L 127 of May 23, 2018, p. 2, and in OJ EU L 74 of March 4, 2021, p. 35, hereinafter referred to as: "Regulation 2016/679"), after conducting an ex officio administrative proceeding regarding the imposition of an administrative monetary penalty on G. Sp. z o.o. based in K. at ul. [...], the President of the Personal Data Protection Office, finding that G. Sp. z o.o. based in K. at ul. [...] violated the provisions of Article 31 and Article 58 § 1 letter a) and e) of Regulation 2016/679, consisting of a lack of cooperation with the President of the Personal Data Protection Office in the performance of his duties and failing to provide the President of the Personal Data Protection Office access to information necessary for the performance of his tasks, imposes on G. Sp. z o.o. based in K. at ul. [...] an administrative monetary penalty in the amount of 14,148 PLN (in words: fourteen thousand one hundred forty-eight zlotys).

JUSTIFICATION

Factual Background

On September 17, 2021, a complaint was submitted to the Personal Data Protection Office (hereinafter referred to as: "UODO") by Ms. J. P., residing in K. at ul. [...] (hereinafter referred to as: "The Complainant") regarding irregularities in the processing of her personal data by G. Sp. z o.o. based in K. at ul. [...] (hereinafter referred to as: "The Company"), consisting of disclosing her personal data in the form of her first and last name to the other members of the Housing Community of the Property at ul. [...] in K. (hereinafter referred to as: "The Housing Community") in the Company's letter dated March 22, 2021, and in the voting card for resolutions dated June 4, 2021. In connection with the above, the President of the Personal Data Protection Office (hereinafter referred to as: "The President of UODO", "The Authority") initiated explanatory proceedings under reference DS.523.5931.2021.

As part of the aforementioned proceedings, the President of UODO addressed the Company – in letters dated April 8, 2022, and May 27, 2022 – with a request for answers to the following questions:

- 1) "Does the Company process the personal data of the Complainant, and if so, on what legal basis, for what purpose, and to what extent, in particular regarding the first and last name;
- 2) Did the Company disclose the personal data of the Complainant in the form of her first and last name in the Company's letter dated March 22, 2021, and in the voting card for resolutions dated June 4, 2021, provided to the other members of the Housing Community at ul. [...] in K., and if so, when, for what purpose, and on what legal basis." The requests, sent to the Company's registered address, i.e., ul. [...], K., were effectively delivered on April 14, 2022, and June 1, 2022, respectively. These requests were received by a person with the Company's stamp. Furthermore, the request dated May 27, 2022, contained a notice indicating that failure to provide comprehensive explanations may result in the imposition of an administrative monetary penalty on the Company of up to 10,000,000 EUR, and in the case of an enterprise, up to 2% of its total annual worldwide turnover from the previous financial year, with the higher amount applicable, or up to 20,000,000 EUR, and in the case of an enterprise – up to 4% of its total annual worldwide turnover from the previous financial year, with the higher amount applicable (Article 83 § 4 letter a) or 83 § 5 letter e) of Regulation 2016/679).

On June 3, 2022, explanations from the Company dated May 19, 2022, were submitted to UODO. The Company indicated that the basis for processing the personal data of the Complainant is the role of the Company as the manager, which involves managing the common property of the Housing Community. This authority arises from the property management agreement concluded on September 1, 2012, in Krakow between the Housing Community and the Company, which was attached by the Company to the explanations along with an annex numbered (...). The Company did not respond to question number 2 (see point 2 of the justification of this decision) but submitted email correspondence conducted with the Complainant, from which it follows the Complainant's contact with the Company and her requests regarding the provision of scans of the Housing Community's documentation by the Company.

In connection with the above, the President of the Personal Data Protection Office (UODO) addressed the Company – in a letter dated June 23, 2022 – requesting further explanations regarding the matter, in particular, to provide answers to the following questions:

- 1) “whether an agreement for the processing of personal data, as referred to in Article 28(3) of Regulation 2016/679, has been concluded between the Company and the Housing Community, and if so, please send a copy of the agreement;
- 2) a clear indication of whether the Company provided the personal data of the Complainant in the form of their name and surname, contained in the Company's letter dated March 22, 2021, and in the ballot for resolutions dated June 4, 2021, provided to the other members of the Housing Community, and if so, when, for what purpose, on what legal basis, and how the aforementioned letters containing the personal data of the Complainant were made available.” Furthermore, this letter contained a notice indicating that failure to provide explanations may result in the imposition of an administrative monetary penalty on the Company in accordance with Article 83(4)(a) or Article 83(5)(e) of Regulation 2016/679 (see point 2 of the justification of this decision). This request, also sent to the Company's registered office, was received on June 29, 2022, by a person holding the Company's stamp.

Due to the lack of response from the Company to the above questions, the President of UODO, in a letter dated August 18, 2022, again requested the Company to provide explanations in this matter, simultaneously clarifying question number 2 (see point 4 of the justification of this decision) as follows:

- 2) “a clear indication of whether the Company provided the personal data of the Complainant in the form of their name and surname to the other members of the Housing Community, and if so:
 - a) when and to whom (how many members of the Community) the aforementioned personal data of the Complainant, contained in the Company's letter dated March 22, 2021, and in the ballot for resolutions dated June 4, 2021, were made available;
 - b) for what purpose and on what legal basis, as well as how.” This request also contained a notice regarding the imposition of an administrative monetary penalty (see points 2 and 4 of the justification of this decision) and was sent to the Company's registered office but was not received by the Company and returned to UODO with the annotation “RETURNED - not collected in time.”

The above circumstances of the factual state were established by the President of UODO based on the entirety of the official correspondence conducted between the Company and the President of UODO, which is included in the case files of proceedings with reference number DS.523.5931.2021. This correspondence reflects the totality of attempts by the President of UODO to gain access to information necessary for the fulfillment of his tasks, that is, in this case – to consider the matter with reference number DS.523.5931.2021, and on the other hand – the Company's reaction to the requests of the President of UODO.

Proceedings

Due to the Company's failure to provide binding and evidential information necessary to resolve the matter with reference number DS.523.5931.2021, the President of UODO, in a letter dated November 24, 2022, initiated ex officio – based on Article 83(4)(a) and Article 83(5)(e) of Regulation 2016/679 – this administrative proceeding with reference number DKE.561.37.2022, concerning the imposition of an administrative monetary penalty on the Company for violating Article 31 and Article 58(1)(a) and (e)

of Regulation 2016/679. The Company was informed about the initiation of the proceedings in a letter dated November 24, 2022 (reference: DKE.561.37.2022), delivered to the Company on December 2, 2022, and the person who received this information about the initiation of the proceedings – Ms. M. Z. – held the Company's stamp. By this letter, the Company was obliged – in order to determine the basis for the penalty, based on Article 101a(1) of the Act of May 10, 2018, on the protection of personal data (Journal of Laws of 2019, item 1781, consolidated text, hereinafter referred to as “u.o.d.o.”) – to provide information on the income achieved for the year 2021. The Company was informed about the nature of the alleged violation, instructed about the sanctions threatening for this violation, and was obliged to provide comprehensive explanations in the proceedings with reference number DS.523.5931.2021 (see points 4-5 of the justification of this decision), which could have a mitigating effect on the amount of the administrative monetary penalty imposed in this case. Furthermore, the Company was informed about the possibility of expressing its opinion – before the issuance of the administrative decision – regarding the collected evidence and materials as well as the submitted requests. The Company did not take the requested actions in response to the information about the initiation of these proceedings up to the date of the issuance of this decision.

On November 15, 2022, a notification from the Company regarding another violation of personal data protection in the matter with reference number DKN.5130.11423.2022 was received by UODO. This violation consisted of unauthorized access to information by the Housing Cooperative [...] based in K., in the form of names and surnames as well as addresses of residence or stay of current and potential clients and users. The above notification from the Company is not substantively related to the proceedings with reference number DKE.561.37.2022.

After reviewing all the evidence collected in the case, the President of UODO considered what... the circumstances of the case.

Legal Provisions

According to Article 57(1)(a) of Regulation 2016/679, the President of the Personal Data Protection Office (UODO), as the supervisory authority within the meaning of Article 51 of Regulation 2016/679, monitors and enforces the application of this regulation within its territory. In the scope of its competencies, the President of UODO considers, among other things, complaints lodged by data subjects, conducts proceedings regarding these complaints to the appropriate extent, and informs the complainant about the progress and results of these proceedings within a reasonable time (Article 57(1)(f) of Regulation 2016/679).

To enable the execution of the tasks defined in this manner, the President of UODO is entitled to a number of powers specified in Article 58(1) of Regulation 2016/679 concerning the proceedings conducted, including the power to order the data controller and the processor to provide all information necessary to fulfill its tasks (Article 58(1)(a) of Regulation 2016/679) and the power to obtain access from the data controller and the processor to all personal data and information necessary to fulfill its tasks (Article 58(1)(e) of Regulation 2016/679).

A breach of the provisions of Regulation 2016/679, consisting of the failure of the data controller or processor to provide access to the data and information mentioned above, resulting in a violation of the powers of the authority specified in Article 58(1), is subject to an administrative fine of up to EUR 20,000,000, or in the case of an enterprise, up to 4% of its total annual worldwide turnover from the previous financial year, with the higher amount applicable (Article 83(5)(e) in fine of Regulation 2016/679).

Additionally, both the data controller and the processor are obliged, at the request of the supervisory authority, to cooperate with it in the performance of its tasks, as provided for in Article 31 of Regulation 2016/679. Failure to comply with this obligation is subject to an administrative fine of up to EUR 10,000,000, or in the case of an enterprise, up to 2% of its total annual worldwide turnover from the previous financial year, with the higher amount applicable (Article 83(4)(a) of Regulation 2016/679). According to Article 83(3) of Regulation 2016/679, in the event of a breach by the data controller or processor within the same or related processing operations of several provisions of this regulation, the total amount of the administrative fine may not exceed the amount of the fine for the most serious

breach.

In assessing whether, and if so, to what extent, an administrative fine should be imposed, the supervisory authority is obliged to take into account the following circumstances (criteria for determining the fine) specified in Article 83(2) of Regulation 2016/679:

- a) the nature, gravity, and duration of the infringement, taking into account the nature, scope, or purpose of the processing in question, the number of data subjects affected, and the level of damage suffered by them,
- b) the intentional or negligent character of the infringement,
- c) actions taken by the data controller or processor to mitigate the damage suffered by data subjects,
- d) the degree of responsibility of the data controller or processor, taking into account the technical and organizational measures implemented by them in accordance with Articles 25 and 32,
- e) any relevant previous infringements by the data controller or processor,
- f) the degree of cooperation with the supervisory authority to remedy the infringement and mitigate its possible negative effects,
- g) the categories of personal data affected by the infringement,
- h) the manner in which the supervisory authority became aware of the infringement, in particular, whether and to what extent the data controller or processor notified the infringement,
- i) if measures referred to in Article 58(2) have previously been applied to the data controller or processor in the same matter, compliance with those measures,
- j) the use of approved codes of conduct under Article 40 or approved certification mechanisms under Article 42,
- k) any other aggravating or mitigating factors applicable to the circumstances of the case, such as financial benefits directly or indirectly obtained as a result of the infringement or losses avoided.

Furthermore, the supervisory authority – in accordance with Article 83(1) of Regulation 2016/679 – ensures that the administrative fines imposed are effective, proportionate, and dissuasive in each individual case (principles of penalty assessment).

To establish the basis for the assessment of the administrative fine, the entity subject to the proceedings for the imposition of an administrative fine is obliged, at the request of the President of UODO, to provide, within 30 days from the date of receipt of the request, the data necessary to determine this basis (Article 101a(1) of the Personal Data Protection Act).

In the event of failure to provide this data by the entity subject to the penalty, the President of UODO shall estimate the basis for the assessment of the administrative fine, taking into account the circumstances of the case.

****Size of the entity, the specificity of its activities, or generally available financial data concerning the entity (Article 101a(2) of the Act on the Protection of Personal Data).******** The equivalent amounts expressed in euros, referred to in Article 83 of Regulation 2016/679, are calculated in zlotys according to the average euro exchange rate announced by the National Bank of Poland in the exchange rate table on January 28 of each year, and in the event that the National Bank of Poland does not announce the average euro exchange rate on January 28 of a given year – according to the average euro exchange rate announced in the nearest exchange rate table of the National Bank of Poland after that date (Article 103 of the Act on the Protection of Personal Data). Pursuant to Article 60 of the Act on the Protection of Personal Data, proceedings regarding violations of personal data protection regulations are conducted by the President of the Personal Data Protection Office (UODO). Article 7(1) of the Act on the Protection of Personal Data states that in matters not regulated by this Act, the provisions of the Act of June 14, 1960, the Code of Administrative Procedure (Journal of Laws of 2023, item 775, as amended, hereinafter referred to as "k.p.a.") apply to administrative proceedings before the President of UODO (including proceedings regarding the imposition of an administrative monetary penalty referred to in Chapter 11 of the Act on the Protection of Personal Data). According to Article 7(2) of the Act on the Protection of Personal Data, these proceedings are single-instance proceedings.

****Article 44 § 4 of the k.p.a. in connection with Article 44 § 1 of the k.p.a. in connection with Article 45 of the k.p.a. states that the fiction of delivery occurs upon the expiration of the last day of the period, which is 14 days in the case of delivering a letter to the registered office address of a legal entity by a**

postal operator, and the letter is left in the case files.**

****Legal Assessment****

Referring the aforementioned provisions of Regulation 2016/679 to the established factual state in this case, it should first be considered whether the Company is the addressee of the obligations referred to in Articles 31 and 58(1)(a) and (e) of Regulation 2016/679, the violation of which is subject to an administrative monetary penalty under Article 83(4)(a) and (5)(e) of Regulation 2016/679. Both of the aforementioned provisions of Regulation 2016/679 impose procedural obligations – within the framework of proceedings conducted by the President of UODO – on controllers and processors. From the content of the complaint, the Company's response dated May 19, 2022, as well as the evidence attached to them, it follows that the Company acts as a property manager at [...] in K., thus it is a processor of personal data of the members of the Housing Community, including the Complainant, in relation to – at least – her name and surname as well as her residential address.

In the proceedings with reference number DS.523.5931.2021, in order to obtain information necessary to consider the complaint and based on Article 58(1)(a) and (e) of Regulation 2016/679, the President of UODO four times requested the Company to respond to the content of the complaint and to provide explanations by answering detailed questions regarding the matter (see points 2, 4 – 5 of the justification of this decision). The Company responded in a non-exhaustive manner to the first two requests, providing a full answer only to the first question; the third request was successfully received and remained unanswered by the Company. The fourth request was not received by the Company, despite being notified twice, which is why it was considered delivered to the Company under the fiction of delivery on September 6, 2022 (see points 2 – 5 of the justification of this decision). The above allows for the conclusion that the Company was informed about the ongoing proceedings before the President of UODO in which it participated and about the demands directed to it by the Authority.

Furthermore, the initiation of proceedings regarding the imposition of an administrative monetary penalty with reference number DKE.561.37.2022 did not lead to the Company providing the information necessary for the President of UODO to conduct the proceedings with reference number DS.523.5931.2021 (see point 8 of the justification of this decision).

It is therefore undisputed that the President of UODO – exercising the authority referred to in Article 58(1)(a) and (e) of Regulation 2016/679 – directed to the Company – in a manner compliant with the provisions of the k.p.a. regulating requests – a demand for the delivery of information necessary to fulfill his tasks. It is also undisputed that the President of UODO did not obtain all the requested information from the Company, which constitutes a violation of Article 58(1)(a) and (e) of Regulation 2016/679.

The actions of the Company, consisting of failing to provide the President of UODO with access to the information necessary for him in the proceedings with reference number DS.523.5931.2021, also exhaust the characteristics of a violation of Article 31 of Regulation 2016/679. Cooperation with the supervisory authority in the framework of its tasks, which is the subject of the obligation specified in this provision, also includes the obligation to present to the President of UODO – at his request – all information held by the processor related to the proceedings conducted by him and to provide – within its framework – access to all personal data and information necessary for this proceeding. The consequence of the lack of access to the information that the President of UODO requested from the Company is an obstacle to the objective, thorough, and comprehensive consideration of the case.

In this case, there were grounds justifying the imposition on the Company – pursuant to Article 83(5)(e) in fine and Article 83(4)(a) of Regulation 2016/679 – of an administrative monetary penalty in connection with the lack of cooperation with the supervisory authority in the framework of its tasks (Article 31 of Regulation 2016/679) and in connection with the failure of the Company to provide access to personal data and information necessary for the President of UODO to fulfill his tasks, that is, to resolve the case with reference number DS.523.5931.2021 (Article 58(1)(a) and (e) of Regulation 2016/679).

At the same time, in light of the determination of violations by the Company of the provisions, namely

Article 31 and Article 58(1)(a) and (e) of Regulation 2016/679, pursuant to the content of Article 83(3) of this legal act, the President of the UODO established the amount of the imposed administrative monetary penalty not exceeding the amount of the penalty for the most serious of these violations. In the presented factual situation, the President of the UODO considered the violation consisting of the Company failing to provide the President of the UODO with access to all personal data and information necessary to perform his tasks, namely the violation of Article 58(1)(a) and (e) of Regulation 2016/679, punishable by a fine of up to 20,000,000 EUR, or in the case of an enterprise, up to 4% of its total annual turnover from the previous financial year, depending on which amount is higher. The seriousness of this violation is evidenced by the fact that the lack of access to the personal data and information that the President of the UODO requested and continues to request from the Company hinders an objective, thorough, and comprehensive examination of the case.

****Conditions and Principles for the Imposition of Administrative Monetary Penalties****

Pursuant to Article 83(2) of Regulation 2016/679, administrative monetary penalties are imposed depending on the circumstances of each individual case. In each case, a number of criteria listed in points (a) to (k) of the aforementioned provision are taken into account (see point 15 of the justification of this decision). In deciding to impose an administrative monetary penalty on the Company in this case and determining its amount, the President of the UODO considered – among them – the following circumstances that weigh against the assessment of the violation:

1. The nature, gravity, and duration of the violation (Article 83(2)(a) of Regulation 2016/679).

The violation subject to the administrative monetary penalty in this case undermines the system aimed at protecting one of the fundamental rights of individuals, namely the right to the protection of personal data, or more broadly – to the protection of privacy. An essential element of this system, the framework of which is defined by Regulation 2016/679, is the supervisory authorities, which have been assigned tasks related to the protection and enforcement of individuals' rights in this regard. To enable the realization of these tasks, supervisory authorities have been equipped with a range of control powers, powers enabling the conduct of administrative proceedings, and remedial powers. On the other hand, administrators and processors have been imposed, correlated with the powers of supervisory authorities, specific obligations, including the obligation to cooperate with supervisory authorities and the obligation to provide these authorities with access to information necessary for the realization of their tasks. The Company's conduct in this case, consisting of evading responses to correspondence received by the Company from the President of the UODO, resulting in the failure to provide access to personal data and information necessary for the President of the UODO to perform his tasks in the proceedings with reference number DS.523.5931.2021, should be regarded as undermining the personal data protection system, which is of significant importance and reprehensible character. The seriousness of the violation is further increased by the fact that the violation committed by the Company has been ongoing since July 7, 2022 (which is the date of the expiration of the 7-day deadline set for providing explanations in the third request from the President of the UODO, dated June 23, 2022, counted from the moment of receipt of this request) until the date of this decision.

2. The intentional nature of the violation (Article 83(2)(b) of Regulation 2016/679).

In the opinion of the President of the UODO, the Company's conduct in the case with reference number DS.523.5931.2021, consisting of a lack of cooperation in providing the authority with access to information necessary for its resolution, is conscious and deliberate. The letters sent to the Company's registered office were received by an employee who had the Company's official stamp, and in the case of the delivery of information about the initiation of proceedings with reference number DKE.561.37.2022, the name of the person receiving the letter is the same as the person conducting email correspondence with the Complainant, which was attached to the Company's response dated May 19, 2022 (see point 3 of the justification of this decision). The above sufficiently substantiates that this person is employed by or collaborates with the Company, and at the same time confirms the Company's awareness regarding the ongoing proceedings. Therefore, there is no doubt that the requests from the President of the UODO reached the Company's awareness (see points 2 – 5, 7 of

the justification of this decision). It is worth noting that the information about the initiation of these proceedings (letter from the President of the UODO dated November 24, 2022) – in addition to the information about the violation committed by the Company and the threat of a sanction in the form of an administrative monetary penalty for this violation – also informed the Company about the still existing possibility of presenting the information requested by the President of the UODO in the proceedings with reference number DS.523.5931.2021. Furthermore, the Company reported a personal data breach in another case, which was submitted to the UODO on November 15, 2022 (see point 9 of the justification of this decision), and did not respond to the aforementioned information about the initiation of proceedings, which was delivered to the Company on December 2, 2022. This means that the Company's actions in this case are deliberate, and above all, the Company is fully aware of its conduct, given that it does not provide explanations in the ongoing proceedings while demonstrating an active stance in another case with reference number DKN.5130.11423.2022. Degree of cooperation with the supervisory authority in order to remove the violation and mitigate its potential negative effects (Article 83(2)(f) of Regulation 2016/679).

In the course of these proceedings regarding the imposition of an administrative monetary penalty on the Company, the Company did not engage in any degree of cooperation with the President of the Personal Data Protection Office (UODO). In particular, the Company did not provide the information requested by the President of UODO in the third and fourth summons to submit explanations in the proceedings with reference number DS.523.5931.2021, which could have been considered as an action aimed at remedying the violation identified in this case or mitigating its effects.

In the opinion of the President of UODO, with respect to this case, none of the circumstances referred to in Article 83(2) of Regulation 2016/679 support the mitigation of the established penalty—taking into account the aforementioned aggravating circumstances.

Other circumstances, as indicated below, referred to in Article 83(2) of Regulation 2016/679, after assessing their impact on the determination of the violation in this case, were deemed neutral by the President of UODO, meaning they had neither an aggravating nor a mitigating effect on the amount of the imposed administrative monetary penalty:

1. Any previous violations by the controller or processor (Article 83(2)(e) of Regulation 2016/679). The President of UODO did not find that the Company had previously committed any violations of personal data protection regulations, and therefore there are no grounds to consider this circumstance as aggravating.
2. Since compliance with personal data protection regulations is a neutral state resulting from the legal obligations imposed on the Company, it cannot have a mitigating effect on the assessment of the violation made by the President of UODO.
3. The manner in which the supervisory authority became aware of the violation (Article 83(2)(h) of Regulation 2016/679). The information regarding the identification of the violation in this case was obtained by the President of UODO ex officio, by analyzing the course of the ongoing proceedings before the President of UODO with reference number DS.523.5931.2021. This is a typical way of obtaining information about such a violation arising from the President of UODO's competence to assess the course of proceedings and determine what information is necessary for resolving the case at hand. Therefore, this circumstance cannot be attributed either a mitigating or an aggravating effect on the assessment of the identified violation.
4. Compliance with previously applied measures in the same case, as referred to in Article 58(2) of Regulation 2016/679 (Article 83(2)(i) of Regulation 2016/679). Prior to issuing this decision, the President of UODO did not apply any measures listed in Article 58(2) of Regulation 2016/679 against the Company in the examined case, which means that the Company had no obligation to undertake actions related to the application of such measures, and this is a neutral circumstance for the assessment of the violation.
5. The use of approved codes of conduct or approved certification mechanisms (Article 83(2)(j) of

Regulation 2016/679). The Company does not use the instruments referred to in Articles 40 and 42 of Regulation 2016/679. However, their adoption, implementation, and use are not mandatory for controllers or processors, as provided by the provisions of Regulation 2016/679, which means that the circumstance of their non-use cannot be considered against the Company in this case. Conversely, the circumstance of adopting and using such instruments as means guaranteeing a higher than standard level of protection for processed personal data could be taken into account in favor of the Company.

6. Financial benefits directly or indirectly gained in connection with the violation or losses avoided (Article 83(2)(k) of Regulation 2016/679). The President of UODO did not find that the Company gained any financial benefits or avoided losses due to its failure to provide the requested information. Therefore, there are no grounds to consider this circumstance as aggravating for the Company. The existence of measurable financial benefits resulting from the violation of the provisions of Regulation 2016/679 should be assessed very negatively. On the other hand, the Company's failure to achieve such benefits, as a neutral state, regardless of the will and actions of the Company, is a circumstance that cannot be mitigating for it. This is confirmed by the very wording of Article 83(2)(k) of Regulation 2016/679, which requires the supervisory authority to pay due attention to the benefits "gained" by the entity committing the violation.

7. Other aggravating or mitigating factors (Article 83(2)(k) of Regulation 2016/679). The President of UODO, having comprehensively examined the case, did not note any other circumstances than those described above that could influence the assessment of the violation and the amount of the imposed administrative monetary penalty.

The remaining circumstances from Article 83(2) of Regulation 2016/679 did not influence the assessment of the violation made by the President of UODO, due to the specific nature of the violation concerning the relationship between the processor and the supervisory authority, rather than the relationship between the controller or processor and the data subjects. Consequently, these circumstances did not arise in the case, and they are:

****Number of affected persons and the extent of the damage incurred by them (Article 83(2)(a) of Regulation 2016/679)**** – due to the fact that the violation in the form of the Company not providing the President of the Personal Data Protection Office (UODO) access to necessary information and the lack of cooperation of the Company with the President of UODO is not associated with a breach of personal data of any individual, and consequently, no damages have occurred on the part of natural persons;

****Actions taken by the controller or processor to minimize the damage suffered by the data subjects (Article 83(2)(c) of Regulation 2016/679)**** – due to the fact that no damages have occurred on the part of natural persons, there is no obligation or possibility for the Company to take any actions aimed at minimizing them;

****Assessment of the degree of responsibility of the controller or processor, taking into account the technical and organizational measures implemented by them pursuant to Articles 25 and 32 of Regulation 2016/679 (Article 83(2)(d) of Regulation 2016/679)**** – due to the fact that the violation in its essence is not related to the technical and organizational measures implemented by the Company to ensure the protection of personal data and the security of their processing;

****Categories of personal data to which the violation pertained (Article 83(2)(g) of Regulation 2016/679)**** – due to the fact that the violation consisting of failing to provide access to personal data and information necessary for the President of UODO to perform his tasks is not directly related to a breach of the protection of any personal data.

In accordance with the wording of Article 83(1) of Regulation 2016/679, the administrative fine imposed by the supervisory authority should be effective, proportionate, and deterrent in each individual case. In defining the above-mentioned principles for imposing administrative fines, reference should be made to the views of the doctrine of law on the protection of personal data. "A sanction is effective if it allows achieving the goal for which it was introduced. A sanction is proportionate if it does not exceed the threshold of hardship determined by taking into account the circumstances of the specific case. A sanction is deterrent if it serves the purposes of individual and general prevention, in

other words, it constitutes a clear signal of disapproval of the violation for society, as well as for the addressee of the sanction" (see P. Litwiński (ed.), Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016 [...]; Commentary on Article 83 [in:] P. Litwiński (ed.) General Regulation on Data Protection. Act on Personal Data Protection. Selected Sectoral Provisions. Commentary. Legis). The principles for imposing administrative fines thus defined require reference to the situation and financial standing of the penalized entity. Such reference is necessary, as among others, a disproportionately low fine in relation to the financial capabilities of the perpetrator of the violation (a fine that is practically "unnoticeable" to him) will not be effective and deterrent against him. Conversely, a fine that is too burdensome (a fine whose payment threatens the material existence of the penalized entity) will not constitute a proportional penalty.

In the opinion of the President of UODO, the fine imposed on the Company in this proceeding corresponds to the principles indicated in Article 83(1). Its financial burden will discipline the Company to cooperate properly with the President of UODO, both in the further course of the proceeding with reference number DS.523.5931.2021, as well as in any other proceedings conducted in the future with his participation before the President of UODO. In terms of disciplining the Company, the fine will therefore be effective (it will achieve its goal). It should be noted that the imposition of an administrative fine on the Company is – given its previous conduct as a party in the case with reference number DS.523.5931.2021 – necessary. It should be pointed out that it is the only measure available to the President of UODO that will enable him to obtain access to the information necessary in the ongoing proceedings. Due to the Company not providing the financial data requested by the President of UODO for the year 2021 (see point 7 of the justification of this decision), in determining the amount of the administrative fine in this case, the President of UODO took into account, based on Article 101a(2) of the Personal Data Protection Act, publicly available financial data concerning the Company. According to the financial report for the year 2020 submitted to the National Court Register, the Company achieved net revenues of PLN 654,367.45. The President of UODO, based on Article 83(3) and Article 83(5)(e) of Regulation 2016/679 in connection with Article 103 of the Personal Data Protection Act, for the violation described in the operative part of this administrative decision, imposed on the Company – using the average exchange rate of the euro from January 30, 2023 (where 1 EUR = 4.7160 PLN) – an administrative fine in the amount of PLN 14,148 (in words: fourteen thousand one hundred and forty-eight zlotys, which is equivalent to EUR 3,000 – in words: three thousand euros).

Having considered the above, the President of UODO ruled as stated in the operative part of this decision.

****Instruction****

The decision is final. According to Article 53 § 1 of the Act of August 30, 2002 on Proceedings Before Administrative Courts (Journal of Laws of 2023, item 259, as amended, hereinafter referred to as "p.p.s.a."), an appeal against the decision may be filed by the party.

the right to file a complaint with the Provincial Administrative Court in Warsaw, within 30 days from the date of its delivery, through the President of the Personal Data Protection Office (address: ul. Stawki 2, 00 – 193 Warsaw). A fee must be paid for the complaint, in accordance with Article 231 in connection with Article 233 of the Act on Proceedings Before Administrative Courts. According to Article 74 of the Personal Data Protection Act, the filing of a complaint by a party to the administrative court suspends the execution of the decision regarding the administrative monetary penalty.

In proceedings before the Provincial Administrative Court, the Party has the right to apply for legal aid, which includes exemption from court fees and the appointment of a lawyer, legal advisor, tax advisor, or patent attorney. Legal aid may be granted upon the request of the Party submitted before the initiation of the proceedings or during the course of the proceedings. The application is free of court fees.

According to Article 105, paragraph 1 of the Personal Data Protection Act, the administrative monetary penalty must be paid within 14 days from the expiration of the deadline for filing a complaint to the Provincial Administrative Court, or from the date of the finalization of the administrative court's ruling, to the bank account of the Personal Data Protection Office at NBP 0/0 Warsaw, account number 28

1010 1010 0028 8622 3100 0000.

Furthermore, according to Article 105, paragraph 2 of the Personal Data Protection Act, the President of the Personal Data Protection Office may, upon a justified request from the penalized entity, postpone the deadline for payment of the administrative monetary penalty or allow it to be paid in installments. In the case of postponement of the deadline for payment of the administrative monetary penalty or allowing it to be paid in installments, the President of the Personal Data Protection Office calculates interest on the unpaid amount at an annual rate, applying a reduced late payment interest rate, announced based on Article 56d of the Act of August 29, 1997, Tax Ordinance (Journal of Laws of 2022, item 2651, as amended), from the day following the day of submission of the request.

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